ACF · Share capital, dividends and equity records — Question Patterns and Methods

Based on 18 past-exam parts, 6 years (2020–2025), their marking keys and the examiners' reports.

First: where marks are lost most

- Share receipts: the key first wants the receipt worked out from the number of shares and the stated issue price; the awards check both figures used in the receipt. Students who miss that calculation, or use the wrong share count, lose the receipt mark and every entry that depends on it (Patterns 1, 2).
- Share issue costs: the payment is debited to Share issue costs and credited to Cash at bank. The transfer to share capital is a separate award and is only earned when the stem requires it. Students who ignore "is required" or "is not required" either miss the transfer or add one that was not asked for (Pattern 3).
- Bonus issues: the key uses the eligible share count, applies the ratio, values the bonus shares at the issue price and expects the transfer from the reserve to share capital. Students who skip one of these steps, or post the reserve entry the wrong way round, lose that award (Pattern 4).
- Dividends: the key uses the share count after any bonus shares, the stated rate, and a declaration entry (retained earnings debit, dividends payable credit) that is separate from the payment. Students can use the pre-bonus count or skip the declaration entry (Pattern 5).
- Statement of changes in equity: each movement (opening balances, issue, costs, revaluation, profit, dividends, transfers) is its own award, so one wrong sign or column can cost several marks (Pattern 7).
- Notes: the disclosure awards check share counts, issue prices, reserve balances and dividend rates against the statements. A figure that does not agree with the statement loses marks in both places (Pattern 8).

Pattern 1: Journalise share applications and allotment

How often: 2/6 papers · 6.5 marks when it appears · 0.9% of a paper.

Recognise it: a general journal question on an ordinary share issue with a stated number of shares and an issue price, cash received on application, and shares allotted on a later date. The stem may ask for narrations.

Method

1. Work out the receipt: shares applied for × issue price. Check it against any amount in the stem.
2. Journalise the receipt on application: debit Cash at bank, credit Application.
3. Journalise the allotment on its own date: debit Application, credit Ordinary share capital.
4. Add the required narration to each entry, with the date.
5. Do not transfer share issue costs here unless the stem asks (see Pattern 3).

What the key rewards

- The receipt, calculated from the number of shares and the issue price.
- A dated debit to Cash at bank for the receipt.
- A credit to Application for the same amount.
- A debit to Application on allotment.
- A credit to Ordinary share capital on allotment.
- The required narrations.

Common errors: leaving out the receipt calculation, which the key awards as the share count and the issue price used; crediting Ordinary share capital on application rather than on allotment; undated entries, since the key awards the dated debit and credit; missing or undated narrations.

Past questions: 2023 SA Q19(c), 2021 SA Q19(a)

Pattern 2: Post share receipts and allotment in ledgers

How often: 2/6 papers · 5.5 marks when it appears · 0.8% of a paper.

Recognise it: ledger accounts (Bank, Applications, Ordinary share capital, sometimes Share issue costs) to be completed for a share issue. Opening balances are usually given, and the stem may say that balancing is not required.

Method

1. Enter each opening balance on the correct side (debit or credit) before any movement.
2. Calculate the receipt from the shares and the issue price.
3. Post the receipt: debit Bank, credit Applications, on the receipt date.
4. Post the allotment: in the Applications account, debit the amount transferred; in the Ordinary share capital account, credit the Applications amount.
5. Check that each entry appears on the other account, so the two sides agree.
6. Balance only if the stem asks.

What the key rewards

- The receipt, calculated from the shares and the issue price.
- The opening bank balance as a debit.
- A debit to Application in the Bank account for the receipt.
- The opening share-capital balance as a credit.
- A credit to Application in the Ordinary share capital account for the receipt.
- A debit for the allotment within the Applications account.
- Dated postings for the cash and application items (the 2020 SA Q19(a) key gives the dates).

Common errors: opening balances on the wrong side; posting the receipt to Ordinary share capital rather than Applications; an entry posted to one ledger with no matching entry in the other; wrong dates on postings.

Past questions: 2024 SA Q21(a), 2020 SA Q19(a)

Pattern 3: Record and transfer share issue costs

How often: 5/6 papers · 3.0 marks when it appears · 1.1% of a paper.

Recognise it: a cash payment of share issue costs. The stem may say whether the costs are to be transferred to share capital ("is required" or "is not required"). The item may appear in a journal, a ledger, an equity statement or a multiple-choice question.

Method

1. Journalise the payment: debit Share issue costs, credit Cash at bank.
2. Read the stem for the transfer. If it is required, debit Share capital and credit Share issue costs to close the account.
3. If it is not required, leave the costs in Share issue costs and do not transfer them.
4. In a ledger, enter the payment as a credit to Cash at bank.
5. In a statement of changes in equity, show the costs as a reduction in the share capital column.

What the key rewards

- A debit to Share issue costs for the payment.
- A credit to Cash at bank for the same payment.
- A debit to Share capital to transfer the costs, when required.
- A credit to Share issue costs to close the account, when required.
- The costs shown as a reduction in equity in the statement of changes in equity.

- For the multiple-choice item, the entry that debits Share issue costs and credits Bank.

Common errors: the entry reversed (debit Bank, credit Share issue costs), which the key does not award; a transfer added when the stem says it is not required; the bank payment placed on the debit side of the ledger, where the key awards a bank credit.

Past questions: 2024 SA Q21(a), 2023 SA Q19(a), 2023 SA Q19(c), 2022 MC Q6, 2021 SA Q19(a), 2020 SA Q19(a)

Pattern 4: Calculate and record a bonus share issue

How often: 3/6 papers · 6.3 marks when it appears · 1.4% of a paper.

Recognise it: a bonus ratio (for example 1:10 or 1-for-8) applied to the shares on issue, valued at a stated price, with a reserve or retained earnings funding the issue. A question may ask you to describe alternative sources of funding.

Method

1. Find the shares on issue. Where the stem gives paid-up capital and an issue price, divide the capital by the price.
2. Apply the bonus ratio to the shares before the bonus issue, to get the bonus shares.
3. Value the bonus shares at the stated price.
4. Record the transfer: debit the reserve (asset revaluation reserve, general reserve or retained earnings), credit Share capital.
5. In a reserve ledger, show the reserve as the account transferred and Share capital as the corresponding account.
6. For a "describe" question, name each source and say how it is used to fund the bonus issue.

What the key rewards

- Paid-up share capital divided by the issue price to give the shares issued.
- The bonus ratio applied to get the bonus shares.
- The bonus shares valued at the stated price.
- Opening share capital and reserve balances recorded.
- The reserve recorded as the account transferred.
- Share capital recorded as the corresponding account.
- Retained earnings described as a source of funding.
- A general reserve described as a source of funding.
- In the equity-statement items, the bonus share count and value, and the transfer from the reserve.

Common errors: leaving out the transfer from the reserve, or posting it the wrong way round; valuing the bonus shares at a price other than the stated one; for a "describe" question, naming a source without describing it, where the key awards "identifies and describes".

Past questions: 2025 SA Q16(a), 2025 SA Q16(c), 2023 SA Q19(a), 2020 SA Q19(c)

Pattern 5: Calculate and record declared or paid dividends

How often: 3/6 papers · 3.7 marks when it appears · 0.8% of a paper.

Recognise it: a dividend stated as a rate per share, with a declaration date and a payment date (interim or final). It often follows a bonus issue, so the share count must be updated.

Method

1. Count the eligible shares: the existing shares plus any bonus shares issued before the dividend date.
2. Calculate the dividend: eligible shares × rate per share.
3. On declaration, debit Retained earnings and credit Dividends payable.
4. On payment, debit Dividends payable and credit Cash at bank.

5. For an effect question, say that retained earnings and equity fall and liabilities rise on declaration. The bank is not affected until payment.

What the key rewards

- The existing shares used in the calculation.
- Bonus shares added to the shares on issue.
- The rate applied to the total shares.
- A debit to Retained earnings on declaration.
- A credit to Dividends payable on declaration.
- A debit to Dividends payable on payment.
- A credit to Cash at bank on payment.
- For the effect question, the retained earnings debit and the dividends payable credit.
- For the multiple-choice item, the answer that equity decreases on declaration.

Common errors: using the pre-bonus share count, so the bonus shares the key adds are missed; a declaration posted to the bank instead of Retained earnings and Dividends payable; for the effect question, choosing an increase in the bank balance, when the 2022 MC Q15 answer is a decrease in equity.
Past questions: 2025 SA Q16(b), 2024 SA Q19(d), 2022 MC Q15

Pattern 6: Complete the retained earnings ledger

How often: 2/6 papers · 3.5 marks when it appears · 0.5% of a paper.
Recognise it: the retained earnings general ledger account, with an opening balance, profit after tax, dividends and transfers to or from the general reserve. It asks for the closing balance.
Method

1. Enter the opening balance on its side (credit, if a credit balance).
2. Post profit after tax on the credit side. A loss goes on the debit side.
3. Post each dividend, dated, on the debit side.
4. Post a transfer to the general reserve on the debit side. A transfer from the general reserve goes on the credit side.
5. Total the account and show the closing balance with its side (Cr or Dr).

What the key rewards

- The opening retained earnings credit at the start date.
- Each dividend as a dated debit.
- The profit after tax as a credit at year end.
- A transfer to the general reserve as a debit.
- The closing balance with its side.
- For the multiple-choice item, the debit-side entries: a loss, dividends and a transfer to the general reserve.

Common errors: profit placed on the debit side; a dividend or transfer missed; the closing balance given without its side; the transfer direction reversed.
Past questions: 2022 MC Q3, 2021 SA Q19(c)

Pattern 7: Prepare the statement of changes in equity

How often: 4/6 papers · 8.2 marks when it appears · 2.4% of a paper. This is the largest equity pattern.
Recognise it: "Prepare a Statement of changes in equity" with opening balances for each equity item and the year's movements. It may ask for rounding to the nearest dollar.
Method

1. Set up a column for each equity item: share capital, general reserve, asset revaluation reserve, retained earnings and total.
2. Enter the opening balance in each column.
3. Add the cash share issue to share capital and deduct the issue costs as a reduction in equity.
4. Add the revaluation gain to the asset revaluation reserve.
5. Add profit after tax to retained earnings and deduct dividends from retained earnings.
6. Show transfers in both directions: retained earnings to general reserve, and a bonus issue from a reserve to share capital.
7. Total each column and check the closing balances against the balance sheet, if given.
8. Round as the stem asks.

What the key rewards

- The number of new shares and the issue price for the cash issue.
- The opening balance of each equity item.
- Share issue costs shown as a reduction in equity.
- The revaluation gain recorded in the revaluation reserve.
- Profit after tax recorded in retained earnings.
- Dividends recorded as a reduction in retained earnings.
- Transfers between retained earnings and the general reserve, with the closing general reserve balance.
- A bonus issue as a transfer from a reserve to share capital.
- For the multiple-choice item, a decrease in retained earnings as an item in the statement.

Common errors: a movement in the wrong equity column, such as issue costs deducted from retained earnings instead of share capital (the 2020 SA Q19(c) key awards the deduction from share capital), or the revaluation gain outside the revaluation reserve; a retained-earnings-to-general-reserve transfer given the wrong sign; opening balances missing; the closing general reserve balance left out.

Past questions: 2025 SA Q17(a), 2023 SA Q19(a), 2022 MC Q13, 2020 SA Q19(c)

Pattern 8: Prepare equity and dividend disclosures

How often: 2/6 papers · 8.0 marks when it appears · 1.2% of a paper.

Recognise it: "Prepare the notes to the accounts" for equity items: share capital (number of shares and price), other components of equity (reserves), and dividends (rate, shares, amount).

Method

1. Share capital note: list each issue with its number of shares and issue price. Deduct any share issue costs from the issue they relate to.
2. Reserves note: show the closing balance of each reserve and any additions to the general reserve.
3. Dividends note: show each dividend paid or declared, with the number of shares, the rate per share and the amount.
4. Check each figure against the equity statement and the balance sheet.

What the key rewards

- The number of shares for each issue.
- The issue price for each issue.
- Share issue costs deducted from the issue they relate to.
- Additions to the general reserve.
- The asset revaluation reserve balance.
- Each final and interim dividend paid, with its shares and rate.
- The declared final dividend, with its shares and rate.

Common errors: missing share counts or prices for an issue; reserves shown as additions rather than closing balances; dividend shares taken before a bonus issue; paid and declared dividends mixed up.

Past questions: 2023 SA Q19(b), 2021 SA Q19(b)